EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Local Government Unit of Santa Ana was created by virtue of Executive Order No. 289, signed by President Elpidio Quirino on October 21, 1949, which took effect on January 1, 1950.

B. Scope and Objectives of Audit

The audit covered the accounts and operations of the Municipality of Santa Ana for the year 2023 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2023, with comparative figures for CY 2022, are as follows:

Particulars	2023	2022	Increase/ (Decrease)
Financial Position			
Assets	811,704,840.98	777,142,381.29	34,562,459.69
Liabilities	206,187,234.93	222,429,164.39	(16,241,929.46)
Government Equity	605,517,606.05	554,713,216.90	50,804,389.15
Financial Performance			
Income	271,422,911.75	305,128,195.78	(33,705,284.03)
Expense	246,971,882.81	228,497,818.86	18,474,063.95
Net Income	24,451,028.94	76,630,376.92	(52,179,347.98)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2023, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Visitor's Information Center (Phase-1)	1,372,898.10

Name of Program/ Project/ Activity	Amount
Continuation of Improvement of Access Road Going to Sanitary Landfill (SLF) at Sitio Catiuayan, Brgy. Rapuli	5,294,869.85
Construction of San Juan Dam and Its Appurtenance Structures	9,081,990.73
Road Concreting of Elmar St.	5,398,825.77
Construction of 3-Units Outdoor Basketball Court at Municipal Park	3,997,958.33
Construction of Slope Protection at V.I.C. Archway	1,698,975.33
Construction of Drainage System at Garcia and Palmera Street with Road Pavement at Palmera Street, Brgy. Centro	1,396,864.87
Construction of Drainage System at the Parking Area in Front of Municipal Hall	1,147,773.00
Road Concreting within the LGU Compound	1,697,678.07
Construction of Covered Walk/ Canopy Extension of Commercial Building	1,895,869.62
Road Opening with Road Concreting of Baloloy Street	3,513,567.12
Road Concreting of Macapulay Street	3,080,239.58
Road Concreting of Fernandez Street	1,886,360.26
Construction of Municipal Stockroom (Phase -1)	1,399,807.23
Total	**42,863,677.86**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Santa Ana, Cagayan for the year ended December 31, 2023 due to: (1) non-conduct of the one-time cleansing procedures for its PPE and non-submission of the Report on Physical Count of Property, Plant and Equipment of the Municipality, with a net book value of P364,839,835.23; (2) non-maintenance of subsidiary ledgers of the individual taxpayers for Real Property Tax (RPT) and Special Education Tax (SET) Receivables amounting to P51,189,341.61 and P50,941,049.83, respectively; and (3) erroneous recording of Transfers of Unspent Current Year DRRM Funds to the Trust Funds account amounting to P10,359,328.28.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Accounting and reporting guidelines for the Local Disaster Risk Reduction and Management Fund were not properly observed for various transactions of the Municipality, which are not in accord with Item 5.1.12 of COA Circular 2012-002 dated September 12, 2012, Section 111 of Presidential Decree No.

1445 and Part B (7) of COA Circular No. 2014-002 dated April 15, 2014, thus, affecting the accuracy and reliability of the Trust Liability-DRRM account in the Financial Statements.

We recommended that the Municipal Accountant draw the necessary adjusting journal entries to correct the reported balance of the Trust Liability-DRRM account and ensure that the proper accounting and reporting of the Local Disaster Risk Reduction and Management Fund pursuant to COA Circular No. 2012-002, Presidential Decree No. 1445 and COA Circular No. 2014-002 dated April 15, 2014 are strictly complied with.

2. The Management derecognized from the books various items of Property, Plant and Equipment, with a total acquisition cost of P3,584,897.05, without conducting proper disposal procedures and without seeking authority from the Philippine Fisheries Development Authority, contrary to Section 2 of Presidential Decree No. 1445 and Item 8, Article III of the Memorandum of Agreement between the Philippine Fisheries Development Authority and the Municipality, thereby, affecting the fair presentation of the PPE account.

   We recommended that the Management, thru the Local Chief Executive, undertake the following courses of action:

   a. Discontinue the practice of dropping items of PPE from the books of accounts without undergoing the proper process of disposal;

   b. Strengthen internal controls pertinent to property accountability and clearance from accountability in order to safeguard government properties against loss or wastage through illegal or improper disposition with a view to ensuring efficiency, economy and effectiveness in the operations of government; and

   c. Consult with the PFDA on any construction to be made on the port site as stated in their Memorandum of Agreement.

3. The appropriation of P12,194,033.25 for the Local Disaster Risk Reduction and Management Fund during the year was not optimally utilized to implement disaster related programs, projects and activities incorporated in the LDRRMF Investment Plan resulting in the utilization rate of 50.95% or P6,213,154.88, thereby defeating the objective of strengthening the resiliency of communities and enhancing disaster preparedness and response capabilities of the LGU at all levels.

   We recommended that the Local Chief Executive direct the MDRRM Officer to strive for the timely and full implementation of LDRRM related PPAs to achieve the goals and objective of the fund, as well as the desired benefits, in compliance with Republic Act No. 10121.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-		-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	19,162,364.76	-	-	19,162,364.76	-
Current Year	-	-	-	-	-
Total	19,162,364.76	-	-	**19,162,364.76**	-
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of six (6) audit recommendations embodied in the CY 2022 Annual Audit Report, three (3) were fully implemented, and three (3) were partially implemented.